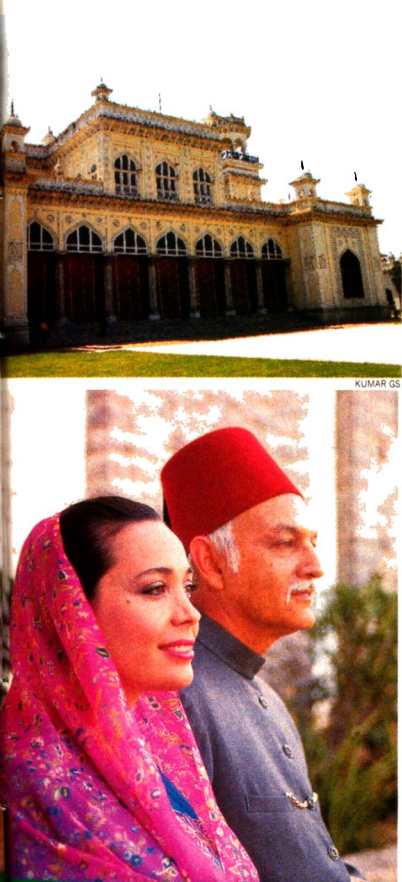


A bitter battle seems to be on the cards with bickering heirs ready to stake claim to the money lying with a London bank



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ternational auction and recovery of the London bank funds. A politician who played a key role in trying to resolve both the issues at one stage was Subodh Kant Sahay, now minister of state for food processing. Another, Kapil Sibal, minister of state for science and technology and ocean development, was one of a battery of lawyers hired by the Nizam's grandsons and trustees to retain the family jewels for auction or sale in the open market before they were bought by the government. Now, the government is making moves for a negotiated out-of-court settlement in which it is to share the fortune with Pakistan and the Nizam's heirs. "We decided to restart the negotiation process with Pakistan to know how much the private beneficiary would get and what would be the terms of distribution between the two governments," says Sibal. For both the countries, it is more a vexatious issue of embarrassment rather than the sharing of the money. But with numerous heirs ready to stake claim to the money, a royal battle is on the cards. A majority of the heirs insist that the money was transferred from the Nizam's private estate and it should be distributed among them. No one has any substan-

shared by two grandsons—Jah and his brother Mufakkam Jah, and not his sons, Azam Jah and Moazzam Jah, because the Nizam didn't consider them worthy enough. What is surprising is that he did not create a trust for the London bank funds. No one has been able to produce a shred of evidence to suggest that the money was part of the personal wealth of the Nizam. So the hoopla by belligerent claimants may only serve to make the government's out-of-court negotiations a protracted one. Some are looking at legal options to seek a share. They argue that for the distribution of any money or property left by the Nizam, the Muslim Personal Law must prevail as the days of princes, privy purses and privileges are over and in the absence of a trust deed, the law applicable to Muslims for inheritance should be invoked.

Some others want it to be shared on the lines of the funds accruing from the sale of the Nizam's jewels. They plan to take legal recourse in London if they are not recognised as heirs and kept out of the deal while discussing the sharing of the bank funds. "We are ready to produce proof that the London bank funds are from the Nizam's personal wealth which is to be rightfully



Mukarram Jah with ex-wife Manolya Onur, part of the Nizam's jewellery; (top) Khilwat in the Chowmahalla Palace

Osman Ali Khan, the seventh and the last Nizam of Hyderabad, did make several attempts to retrieve the fortune but failed. The funds case went for arbitration in British courts. The House of Lords concluded in 1957 that the legal title to the money belonged to the Pakistan government even though it did not assert its beneficiary title. Further, it observed that the account could only be "unfrozen" with the agreement of all parties and only "inter-governmental" talks could resolve the issue.

As successor-in-title, grandson Jah launched several initiatives in lobbying for the sale of the jewels through an in-

tive evidence to establish whether the funds flowed from the Nizam's personal account or the state exchequer.

Khan enjoyed the reputation of not only being the richest man in the world but the most miserly too, given the contradictions in his legendary wealth and his austere lifestyle. He was meticulous in putting away wealth for his heirs, other descendants as well as for charitable causes. He instituted 50 odd trusts, including the jewellery trust, which stated the beneficiaries. In most cases of personal wealth, the documents spelt out clearly that descendants were entitled only to the interest from the corpus which was to be

shared among all heirs and not just a few," argues Mahmud Ali Khan, a grandson-in-law of the Nizam. Some are seeking permission for their representatives to attend the tripartite negotiations beginning May 21 besides requesting Vice-President Hamid Ansari for his support in lobbying for their cause which is to stall the money going to a handful of direct descendants led by Jah.

Whether they get a penny or not, the other bickering inheritors are poised to raise a legal stink that may show the Nizam in a poor light and make their benevolent forefather turn in his King Kothi grave. ■